SI415: Maybe This Is Just What Normal Markets Look Like ft. Alan Dunne

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis The episode argues that investment success stems from preparing for unpredictable macro regimes rather than attempting to predict future market movements. It highlights a fundamental structural shift in the global economic landscape characterized by stickier inflation, debt unsustainability, and the erosion of institutional norms (financial repression). These fractures render traditional diversification strategies less reliable, while presenting unique opportunities for systematic trend following strategies that adapt to volatility and negative correlations with bonds.

2. Key Arguments & Data

3. **US Intervention Dynamics:** The Federal Reserve conducted a rare FX intervention (selling Euro/Buying Yen) recently to counter rising US yields and prevent large bondholders from selling Treasuries at scale. Japan is allowed access to the FEMA facility for borrowing dollars, signaling US sensitivity to yield increases. This occurred without prior coordination with the ECB, suggesting uncoordinated action driven by domestic interest concerns.
4. **Fed Policy & Credibility:** A divergence exists between Kevin Warsh (Chair) and Scott Besson regarding balance sheet normalization and quantitative tightening. Market credibility is eroding; yields have risen partly due to poor Fed press conferences and lack of forward guidance, with the bond curve steepening following policy announcements. Future rate hikes may depend on task force reports before action occurs.
5. **Macro Regime Shifts:** The authors identified three fractures in the current economic regime compared to the last decade:
    1. *Inflation Stickiness:* Bond and equity correlations have shifted from negative to positive (-0.5 vs +0.3).
    2. *Debt Sustainability:* Debt-to-GDP levels exceed 100%, increasing risk of fiscal dominance if equities underperform. High leverage in US markets means a recession would worsen debt service costs.

3. *Institutional Erosion:* Central bank independence is at risk; policies are shifting toward financial repression to manage low-yield environments.

6. **Trend Following Performance:** Over the last decade (2014-2024), annualized CTA returns were ~7.5% compared to <2% in the previous decade. Bonds and trend have become negatively correlated (-0.37) due to bond market underperformance, whereas bonds and equity were positively correlated 0.33 last decade. Strong performance in 2022-2023 occurred during periods of systemic stress when equities sold off despite sticky inflation.
7. **Asset Class Forecasts:** AQR Capital Markets Assumptions predict US equities will deliver ~6.3% nominal return over the next decade (vs. 12-15% historical recent average) and commodities ~3% geometric. Conversely, GMO forecasts negative real returns (-7.2%) for equities in a normal interest rate environment due to mean reversion assumptions.

8. **Market Metrics:** As of August 25: S&P CTA up 9.55% YTD; MSCI World (ex-US/Canada) up 14.85% YTD; US Aggregate Bonds gained only 78bps/month. Bitcoin and crypto moved 25-30% recently tied to policy.

9. Actionable Takeaways

10. **Adapt Portfolios to Regime Shifts:** Move beyond traditional asset classes that no longer offer reliable diversification in a high-debt, sticky-inflation environment. Increase allocation to systematic trends and commodities which show negative correlation to bonds and resilience during yield spikes.
11. **Monitor Fed Communications:** Pay close attention to the minutes from FOMC meetings and the upcoming Jackson Hole symposium. The market's reaction is currently based on Warshâ€™s lack of clear forward guidance compared to past central bank actions, creating a risk environment where credibility determines asset returns.
12. **Utilize Systematic Tools for Timing:** Use trend following strategies to mitigate timing risks. While long-term return forecasts (like GMO) may be pessimistic due to mean-reversion assumptions, systematic

approaches allow investors to avoid buying falling assets and capture gains during periods of negative correlation without needing to time specific market bottoms.

13. **Evaluate ETF vs. Direct Manager Exposure:** Be aware of high dispersion in CTA ETFs regarding asset class coverage (some exclude full spectrum of futures). Understanding the underlying mandate is crucial as returns have shown significant variation among managers with similar strategies.

Full Transcript

Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence. Welcome and welcome back to this week's edition of the Systematic Investors Series with Alan Don and I, Nils Castro-Larsen, where each week we take the pulse of the global market through the lens of a rules-based investor. Alan, it is wonderful to be back with you this week. Hope you're doing well. How was summer? Summer was good. Yeah, we had a great summer in Ireland. Definitely had a Long spell of good sunshine, which is now coming to an end here. It's dark and dreary and it's a west and rainy. So it definitely feels like the summer has come to an abrupt close and Dublin. But no, we definitely had a really good summer. I think a lot of places actually right now in Europe would say, oh rain, that sounds great. Because even here in Switzerland, we had, how should I say, information in our mailbox that you're not allowed to use any kind of watering of your.

gardens or anything like that there really is a very very severe drought even even why i am so anyways. We've got a pretty good lineup of topics thanks very much for putting that together we got a couple of questions that came in and so very excited to dive into all of that but of course before we do any of that as usual love to hear what's been. on your radar the last two or three weeks? Yeah, well, it's probably going back to the end of July. It's been a couple of months as I was on, but definitely thought it was worth commenting on the US intervention in the end. Because it still remained quite topical, all of everything that happened around that. So I mean, for context, I don't know if people don't follow FX market so closely, it is very rare for the US to intervene in currency markets.

they intervened I think in 2011, but last time they bought the Japanese yen was back in 1998. So, you know, we're talking about very rare occurrences,

which kind of begs the question, you know, what's going on? And it was very interesting this time around, a couple of aspects. One, they sold the Euro and bought the yen, which was an interesting twist. And then The second thing was they announced that kind of going forward that if Japan would continue to buy EM, they could tap this FEMA facility at the Fed, which would effectively allow them to borrow dollars to sell dollars if they felt further intervention was needed going forward. So I think that aspect really points to the sensitivity the US has to a big bond holder selling bonds at the moment and the sensitivity they have to rising yields.

And obviously we saw more on that with Scott Besson's announcement the week before last. So I think it's very much consistent with the idea that we're in unprecedented, maybe, or certainly very rare occurrences. And there is this very heightened concern about the US bond market is the sense you get. And also interestingly, the FT had an article that the US didn't inform Europe, the ECB in advance of the Euro sales, which is quite unusual. Now, you might say that's a bit surprising, but obviously there's been a lot of surprise developments in how the current administration has dealt with its international partners. But again, it was another angle on it and kind of a twist of the US very much acting in its own interests and not necessarily coordinating with the Europeans.

I think, yeah, I mean, the thing I took away from it was this real sensitivity view about rising yields and a real reluctance to allow a big asset holder to sell their treasuries. Yeah. No, I completely agree, of course. But I think there's more to the story, actually. And later today, I'm actually recording an episode that comes out a few days after this one with Jim and Marvin Bath on global macro. And I think we're going to probably touch on this as well. But I get the feeling that it's not necessarily just about the level of the currency. There's so much more into it, including sort of interest concerning industrial production. because Japan has actually turned out to become really the only place the US can go to get some of their military stuff built in time for it to be used and to a standard that is up to scratch. I think there are many dimensions to it. I think it was positioned as the US helping out a friend in Japan.

very superficial reading of it. And I think the other thing to keep in mind is, you know, I think with FX markets, the case of careful what you wish for, I mean, I started off in FX. So I remember very clearly the 1998 episode, I'm actually, it was seemingly successful initially in the sense that the end stopped selling off and then it's stabilized. But then the Fed cut rates and dollar and had a huge collapse in about four days. So I mean, you don't want to have that kind of instability of a massive carry on why not not suggesting we will. But it just shows you that, you know, you start pushing currencies one way and then back to another way. You just don't know what kind of second order effects it can have. But yeah, it's definitely, you know, it's worth keeping an eye on. Yes, for sure. Yeah. And actually, Yeah, the price had initially a decent move, but some of it has obviously disappeared again, so to speak, the effect has disappeared. So it will be interesting to see. So on my radar this week, I only got one thing, but it involves you, Alan, because I got inspired by a Danish podcast that I sometimes listen to where the two hosts have to guess what a certain number that has been in the news refers to. So I thought I was going to try it out with you, Alan. Obviously not rehearsed in any shape or form. So the number for you is 16.68 billion dollars. What do you think that number represents? 16.68 billion dollars. I don't know. It's got to be something related.

No, I was going to say it related to the, obviously the 30 trillion has been in the news and the debt side. So I thought maybe it's linked in, but then 16.6 it seems low relative to that. So I'll take you off the hook. Yeah, absolutely. It is, as far as I understand, the proposed or part of the proposed settlement between 29 states and Mark Zuckerberg's meta organization, which also include some significant changes in terms of how Instagram and Facebook interact with children and teens, which I'm sure you with a young daughter will welcome, that maybe they won't be able to interact with young children the way they have been so far. But of course, 16.68 billion is not a lot of money compared to the 60 billion Mr. Zuckerberg spent on his metaverse.

which seems to have been completely a waste of time and money. Well, we'll see. I'm sure they've learned something. But anyways, yeah, any... There was a story that he's bought a castle here in Ireland in Waterford. So that would have been another good question to have had for me. But I don't know how much you pay for that. Probably not 16 billion anyway. A little

less. Well, there we are. Anyways, so I am pretty sure I'm not going to... Repeat this experiment with one with a number for the co-host, although it sometimes is quite funny what they come up with these two guys. Anyways, another number that is somewhat lower. It's 43. I'm sure you can guess that that is actually the trend barometer as of yesterday. So it's pretty neutral. We are recording Thursday, so we have about two and a half days left of a trading days left of the month. So far, August looks pretty decent when I look at the numbers, which we'll go through shortly. But August actually hasn't necessarily been an easy month when you look at kind of quote unquote the two types. I know maybe the official yen intervention happened in in late July, but we've had kind of these two types of intervention. One was the yen first and then quote unquote intervention in the US bond market.

Both of which actually went against the bigger trend. So that would have hurt performance. So all in all, I think actually it's a pretty respectable month so far, but of course, lots of things can happen in the last few days. In addition to the quote unquote manipulated moves in the yen and the bonds, we've also seen a big move in Bitcoin. I wouldn't necessarily call it manipulated, but of course it's completely tied to some policies that the White House is trying to get through as far as I understand. And I don't know. I mean, we don't trade Bitcoin on our side. So I have no idea whether this has been a good move or a bad move for trend followers. But it certainly moved 25, 30 percent or so in the last couple of weeks. So yeah, any thoughts on your side? I mean, now you Now that you have your own fund, you're tracking these managers closely, I'm sure. Absolutely. Yeah. No, it's interesting. I mean, August is interesting. As you say, you might have said, okay, it feels like the trend has been rising yields, but actually, you know, kind of US bond yields have been kind of flat to slightly lower over the course of this month. You know, yields outside the US have risen a bit. But actually, you know, across the managers that we're allocating to notably seeing good gains on the commodity side in August, which is obviously a really positive aspect of allocating to trend. We're talking about markets like Sink and Wheat and Lean Hogs. Copper has been rising again. As you mentioned, we've had choppy conditions in currencies. Not just in the end, obviously the euro had a big, the dollar sold off on the kind of the best and spawned intervention.

goals. So they were both kind of a weaker dollar trade, which would have been negative for trend followers. But certainly encouraging to see those strong, strong ish gains, I would say, on the commodity side. And yeah, I mean, in July, it was, you know, it was a bit kind of a decent amount of dispersion again there, you know, some managers, you know, with some idiosyncrasies, ad performing and underperforming. You know, you see some people trading in credit, for example, and that was a negative. Others with kind of non-trend signals doing a bit better. So I think, yeah, we're seeing definitely a decent amount of dispersion. But I would say from kind of a, you know, from the perspective of the role of trend in a portfolio and getting it need diversification, you know, it's always a very encouraging sign when you see stronger trends in the commodity markets.

And since you mentioned the word dispersion, which we normally associate, as you say, with the difference in performance between managers, CTAs, trend followers, whatever, however we define it, I will say, I've also noticed there's been a lot of dispersion in returns among quote unquote CTA ETFs. It really, and I know that those, the ETFs can be very, very different. I mean, they can really be different. So, so I do understand that. And, but I will say some of the moves have been surprisingly large. And also, I guess my worry a little bit is that most people who buy them probably don't really know what's behind it. So they have probably less of a chance, my words, of course, less of a chance of getting a feel for what to expect. Yeah, I think as you say, there are quite notable differences in the US ETF market with some managers not trading the full set of asset classes, others trading a very narrow set. So I think that definitely drives a good chunk of it. Yeah, for sure. Anyways, let's reveal the numbers. As of Tuesday, the 25th of August, we see the beta 50 up 2.14%.

In August, up 10.26% so far this year. So very strong. Sokgen CTA up 1.34%. In August, up 9.55% so far this year. Also very respectable. Sokgen Trend up 1.19%. Up 9.19% so far this year. Also pretty good. And the Short Traders Index pretty good month. I will say up 1.69% and up 4.93%. So definitely coming back a little bit on that front in the traditional world MSCI world and these numbers are as of last night up 2.68% so far this month up 13.49 so far this year taking out the US and Canada so the MSCI World Eve index up 2.54% and up 14.85% so far this year the US aggregate

bond index up 78 basis points for the month of 45 basis points for the years and not a lot of real return so far this year and the S&P 500 total return up 2.58% in August and up 12.97% this year. So a very respectable return. Now, I mentioned we had two questions that came in. So the first question must have come in just after you were on last time because I made a note in my in my little sheet here saying that it came in on the 17th of July. So So we apologize, but Alan didn't come back on the show until now, so we've kept it for you. And it's from Jason and Jason writes, Kevin Walsh made it known that he's not a big fan of the Fed's balance sheet. He's thinking is that lingering balance sheet risk acting too much like fiscal policy rather than classic front end only monetary policy like the Fed has traditionally performed before Bernanke.

Ideally, we need free markets to be determining price discovery beyond the overnight rate. His thinking is that the Fed should act responsibly instead of kicking the can down the road, similar to what the US government has done with its unsustainable spending. If what was once used as a temporary emergency measure QT needs to be paid back, how does he plan to lower mortgage rates if he saturates the market with new heavy supply of its off the fifth spell and cheat. Well, that's an easy question right now. Exactly. No, I mean, it does cut to a lot of the points that are very relevant in the whole discussion around not just Besson's actions, but Warsh's comments at the last press conference as well. And I think, you know, the reality is we don't really know what Kevin Warsh's plans are. You know, we did He did come into the role talking a lot about, as the listener pointed out, the excessive valenties and basically his suggestion was the Fed was complicit in the treasuries.

ballooning deficit and debt by engaging in QE. But at the same time, we haven't heard of a framework yet as to what's going to be done. Now, obviously he has his various task forces. So my sense is he's not going to make any decisions till he gets the reports from the various task forces. And then, you know, obviously there is this question, is he really going to go down this route of normalizing the balance sheet? which would obviously increase the supply of bonds in the market at a time when the Treasury is trying to increase its demand and reduce its supply of bonds and shift its issuance to T-bills. That doesn't seem unlikely for a Fed and for a Fed chair

who's having regular phone calls with the President as well as another kind of element to go into the mix. So I think the problem is we don't know...

what Kevin Warsh's latest thinking on any of these things are since he became a Fed chair. So I'm kind of a bit skeptical that we're going to see much in the way of balance sheet reduction in the short term and certainly not until we hear what are the various views from all the different task forces. Yeah, I think that that is very diplomatic and correct to say at this stage. And, of course, I think we're going to dive into this a little bit later in our conversation today because there's a lot of stuff going on around the policy makers and some of their protochets or vice versa, I should say. Anyways, we also had a question in from Bandazian. He came in with a question for you, Alan. If short-term trend has structurally degraded.

Does that actually make medium slow trend more crowded and potentially create larger synchronized exits when those signals eventually flip? What markets today have the biggest gap between the macro narrative and what systematic positioning is actually saying? Yeah, well, I think it's two distinct questions there. Yes, we obviously the last time I was on, we talked about the paper from the researchers at CFM or associated with CFM about the degradation in short term trend following in some contracts, but not all. And I mean, I think this is something that's been known for quite a while that the short term trend has got more challenging. I mean, some people. So managers still like it in terms of having that fast reactivity, having that convexity that you get particularly as you go into risk-off periods. So I don't think we're going to see or we've recently seen a big shift into medium and long-term trend. I think that's been the pattern for a while now. And I think what the research actually from that paper also showed was that We're not seeing that the size of the asset increase that, you know, that those explanations for the decoration and performance across trend strategies didn't stack up. So we're not, you know, the size of the CTA industry relative to the liquidity of the futures market is not so large that there is a concern around that. So I think, yeah, short-term trend is probably.

You know, something that managers have in their portfolio to varying degrees, some keep it in for that convexity. But I don't think that it's pointing to a generalized overcrowding in the medium and long-term space.

Yeah, I have two thoughts on that. One is, I actually think that short-term, and by the way, I don't really... I don't really know that there's something called short term trend following because frankly all the managers I know in the short term space, they're not really trend followers. They're like vol expansion type strategies or whatever. But let's just let's just call it short term trend. I'm not so sure that AUM didn't play a role here because I've seen a couple of examples where people did well.

and had a very good narrative, very strong narrative, and you saw lots of money flowing in their direction. And after that, return stopped really to be materialized. So I've always felt that I'm sure I've said it many times on the podcast. When I see short-term managers managing even two, three, four plus billion dollars, I'm really curious. How do they do that successfully without it becoming just way too expensive to execute? So I do think, I mean, of course, you're completely right in saying that the overall industry hasn't really grown a lot. So I'm not concerned about liquidity and cost of execution when it comes to long-term or medium-term trend. That's not the issue for sure. But when it comes to short-term, without knowing the details, But just from... I think that's a different question. Yeah, exactly. But yeah, I don't disagree. Yeah, no, absolutely. I mean, and the second part of that question, which markets is the macro narrative? Right. Yeah, I mean, that's an interesting question. Hard to... I mean, I was wrecking my brains a little bit. I mean, maybe the US dollar, I mean, the macro narrative is probably more pessimistic on the dollar, arguably, but I mean, you could debate that, but at the same time, I think CTAs are still generally, okay, they may appear back recently would have net long dollar exposure. So that's worn out, I would say. You know, I think on fixed income, trend positioning is probably in line with the macro and ours of the trend is for higher yields for all the reasons people are worried about. Yeah. But this is the other thing because I see now, I mean, in the last, what let's say five years, it's become very.

normal to receive these emails from the big investment houses saying, oh, CTAs are getting ready to buy 70 billion worth of equities if the S&P closes above this level for two days in a row, whatever. I mean, it's completely crazy to pay any attention to these things in my opinion because there's so much more that goes into that. And to this question, I would say, Yeah, we

could talk about positioning and being close to narrative. But what people often forget is that at certain times, even though you're quote unquote a longer term manager, we can change positioning pretty quickly. I mean, for example, with the yen, I'm sure lots of people pair down their yen exposure very, very quickly because it was such a big move after the intervention and so on and so forth. So again, I think Yes, we love to have a narrative for what trend followers are doing. But in the reality, the best thing is probably not to not to spend too much time on that and just let us do what we do. And that is to in a completely unbiased way, just follow the price and keep our heads down, so to speak. But there we are. Anyways, let's move on because we move straight into your current macro view. And that obviously opens up a lot of avenues that we touch on already, but let's dive into it. Yeah, well, again, following up on what we spoke about the last time, the last say, we did speak about communication at the Fed. And that was, I guess, was Middle of July or something. It was obviously before the second FOMC press conference, because after that, this whole topic really really escalated as something that has been... And so to interrupt you here, but maybe just for people to realize, I mentioned we're recording on Thursday, but in terms of communication, I mean, we're heading straight into Jackson Hole. Yes, exactly. So it is relevant to talk about communication. So this is the next episode is coming imminently. We're scheduled to speak tomorrow. But, you know, we've had...

two press conferences. And after his first one, you know, he said, you know, what were committed to price stability, and he kind of hinted at, you know, less communication, basically, and given less guidance. And then he carried that through into the second press conference, where his performance was very kind of debated as to generally I think he had a poor score for that performance. But it's interesting how the market then split into two camps of people. Some people say, no, this is okay. We've had too long for the fed spoon feeding the market. And this is a good thing, free markets. And then the other camp saying, no, no, no, that's not how it works. So I would be in this camp of saying, no, it doesn't work like that.

I think the thing is, it's not that people want forward guidance. That's not the issue. I think Vorice is correct. The forward guidance wasn't necessarily a good thing, but the market doesn't have a sense on the Fed's what's called

reaction function. So how they're seeing the economy. At the moment, we've got this AI boom. It's inflationary in the short term. It may be disinflationary down the line. What's the appropriate policy for that? Warsh has kind of thrown that question out there but hasn't given any kind of sense on how they're thinking about that. How did they think about the supply side issues related to Iran? And I think it was a bit, his comment that the market needs to play the ball, not the referee. I think it appeals to certain people but it doesn't really make sense because you know, Wall Street has always tried to infer what the Fed was doing, you know, even before the 1990s, when they didn't even make an announcement, you know, all the banks would have had Fed watchers trying to infer what the Fed is doing from their open market operations. Why? Well, obviously, what's happened to liquidity is an important factor for the economy and for asset market. So it suggests, you know, don't ignore the Fed, you know, it doesn't really make any sense. And then he pointed to, you know, the rise in bond yields in the period since the previous meeting saying, you know, this is the market doing the Fed's job. But obviously, some of that rise in yields reflected the fact that the market interpreted his last press conference has been a bit hulkish and the market understands that they are at least a thought of it.

the Fed's reaction function. So I think it's been frustrating for people. You might say, does it matter? Well, I think it matters in a few ways, because obviously the Fed's trying to re-establish credibility. It's been missed the inflation target for five years now. He's come in saying he's going to do a lot, but actually he hasn't backed it up with action. And if you're not backing it up with action, If you don't have a good explanation as to why, well, then that's when the market starts to wonder, is there really that resolve to tackle it? I think that's what we saw after the July FOMC meeting. Immediately, during and after the conference and the press conference, the curve steepened, the dollar sold off, gold rose, all of these classic signs of reduced credibility.

So I think, I mean, I think what it means for investors going forward is, you know, a lot of focus is on now on Warsh tomorrow. If he continues to go down this vein, I think the focus may shift, you know, to other avenues such as the minutes has been the more important area to get an assessment of where the Fed is. And I mean, the suspicion is maybe that, you know,

before he joined, the question was, is he a dove? Is he a hawk? And, you know, maybe, you know, My own view is I'm shifting to the view that maybe he is more dovish than he's letting on and he just want to raise rates. But I think what it means is that some of the other members like Waller and Williams that their influence is going to be even greater now given that we know there are kind of three in the camp of raising rates. So I think where it sets us towards is possible fracture within the Fed that you could get distinct factions. Obviously, you have Trump trying to stack the Fed with his own appointees. And you've got Lisa Cook coming under renewed pressure again. So it does have that sense of the ongoing politicization of the Fed. And we still don't know whether Warsh is immune from that or not. So I think that's a big credibility question mark.

Yes, it'll be great for him if he came out tomorrow and give clarity and all of that. I doubt he will, but I think it is important that he does so, or else we're going to see this credibility issue hanging over the Fed for a lot longer. Yeah. I mean, there's a complete, there's an additional twist to this story. And that is, of course, that on one hand you have Scott Besant. And then in the ring, you have Kevin Walsh. These two guys, they used to work together. And they happened to work together with Stanley Druckenmiller. And Stanley Druckenmiller, of course, came out, and I say, of course, but it's not, of course. He came out with an op-ed in the Wall Street Journal only a few days ago. Admittedly helped by AI, but leave that aside.

Different view let's call it that or where he essentially as far as I understand Basically wants the market to decide where rage should be and he doesn't like this intervention now What's what makes this the kind of the story more even more interesting is of course that Scott Besant worked for George Soros when they went against the central bank and broke the British pound So now he suddenly feels well hang on you guys you shouldn't go against us because we are the good guys here And but he's getting some pushbacks from his former mentor and former I don't know about exactly where you know where where was stands on this but. It's a very interesting twist and then on top of that I in preparation for our conversation I saw a piece by one of our other guest paper mountain grown who was on recently and.

From her, from the conversation we had with her, and I think in her latest writing, she talks basically about that Washington is deliberately changing the regime. So we're facing a different way of doing things. And then I noticed a little piece I got this morning from one of your previous guests, Ed Yardini, who basically, I think says, hmm, well, maybe the bond mark isn't warning us at all. It's just... Putting yields roughly where economic fundamentals says they should be. Yeah. A lot of dynamics. I think that's right. And I mean, that was, sorry, that was Drucker Miller's point as well. I mean, he's pointing out that, you know, growth is strong, strong-ish, you know, not mega-strong. And inflation has been above target for quite a while. So, yeah, 10-year yield that just heading up to 5% is maybe not that unusual. And actually, If you look at us if you look where you lose are you know it's just that we're just normalizing back to where they were in the 1990s and the 2000s and the 2010s what was the aberration so in economy like this that is growing strongly.

Yeah, it's probably not unusual. The big problem, obviously, is that the size of the debt is much greater now. So the debt service cost is greater. Obviously, and as time goes by, that increases because some of the debt that was issued at lower yields will roll off. And now, you know, that's providing the impetus to issue more at the short end, which again puts more pressure on Warsh than not to be raised in rates because it will feed directly into the higher costs. But yeah, I mean, from that perspective, you know, it's not like inflation expectations have skyrocketed, they're kind of still kind of two and a quarter, two and a half percent or so. What's pushing up yields is real yields, which reflects greater competition for capital because, you know, governments have greater deficits and we've got this huge cap expend related to AI. Yeah, no, yeah, for sure. Absolutely.

Now, we can stay on this topic a little longer if you want, but I know we have a lot of other sort of headlines at least that we wanted to touch on and they're somewhat related in any way. And so, as I said, I'm going to hand it back to you, but one of the things you also want to bring up was these three fractures in the macrocheme. So maybe that's a natural point to go. Yeah, I mean, I think and you know, we've been talking about the change regime for a long time now. And we wrote a paper last year, the regime adaptive portfolio. And as part of that looked at how the economic regime has

changed from the last decade, really from the last four decades to the current period. And you know, at a high level, that's been we've gone from an environment of disinflation rate, a great moderation, a great disinflation.

you know, period of, you know, low interest rates, low inflation and very little volatility in rates and inflation. And that's linked to the globalized world, neoliberalism, all of that. And now we've changed into this new regime. And I guess in the paper, we highlighted kind of three key fractures in the regime that are kind of You know and leading to this evolution in the economy and the markets and the first one is I think it's the one that probably gets talked about the most inflation being higher and stickier which we've seen and obviously the upshot of that is and. basically the bonds and equities become more correlated, which is something that we've seen. And that's something that everybody, probably most guests that we've had on the podcast have alluded to, certainly on the allocator series side, that that's been a very pronounced and notable change this decade versus last. But the other fractures that I think that we talked about in the paper, We're starting to see more of those coming through now is what I wanted to talk about. Like in the second one being obviously debt sustainability and the coincidence of high debt and high equity valuations. And obviously we've seen this come to the market and go away. Obviously we saw it in 2023 when there was concerns about US debt issuance and then they changed the quarterly refunding with Janet Yellen at the time, which was controversial. But again, we're seeing it with Besson now.

they're tinkering with the markets because of concerns about sustainability. But not just that. And obviously this happens at a time when you've got unusually high equity valuations or relatively high equity valuations. And I think that the concern here is that if you had an equity market decline, the US economy is so levered in the US equity market at the moment. that would have a meaningful impact on debt again because what you've seen is if you look at the trajectory of the debt over the last 20 years, basically every time you have a recession, you get a jump up in debt because you're... Your revenues go down, there's generally some kind of fiscal support, so you get a new deficit, and that kind of pushes it up even higher. So the concern now is if we got that again, given that debt GDP levels are already above 100%, that could be the...

the tipping point of fiscal dominance. And that's really where we're getting to now. We're starting edging towards that. And the related concern is financial repression. And that's basically holding down interest rates below where they should be to try and manage that service levels. And that's effectively what you're seeing from Besson at the moment. And the third fracture that we talked about in the paper is the kind of the fraying institutional order, the erosion of institutional norms. And again, we're seeing this, we have been seeing this on an ongoing basis with the pressure on the Fed. Obviously, we're seeing it with this more kind of active tinkering in the bond market in terms of issuance. We've seen the threat to central bank independence. And not just the institution order, I suppose, the erosion of any kind of conservice of fiscal policies as well. So there's no appetite to deal with the fiscal debt problem. So the point is that I think...

You know, I think we've been very focused on the, you know, the first fracture that changed at the higher inflation, stickier inflation, and what that means. That means, obviously the bonds will be won't be as good as diversify for equities. But actually what we're seeing with these other changes as well, I think has pretty significant implications for asset allocation as well. And obviously, you know, the debt concerns also mean that bonds would be less reliable diversifiers for equities too. But equally, if you've got that combination of concerns about debt sustainability and the erosion of the kind of institutional norms, it does mean that more unorthodox policies like... these active bond buybacks and whatever else may come and maybe come more of a feature of the markets. And that's the whole area of financial repression. And again, it's about what kind of real return will you get from holding fixed income markets? And then it's obviously positive for things like gold and Bitcoin, as you alluded to earlier, because as soon as you get a sense that the US is heading towards these kind of policies, You see it in the dollar, you see it in gold, you see it in bitcoin. So I think it's interesting that, you know, I think definitely what we've seen in the last couple of weeks is definitely one step closer to fiscal dominance. It's something that's been talked about for a while, but I think we are actually getting much closer to the point of that being a reality. Yes, so it's kind of made me think that if only you had a regime-adapted portfolio, life would be so much easier, right, Alan?

Exactly. Yeah. But the other thing is, of course, that we also live in a world that is de-globalizing, meaning that all the central banks, all the governments are more in it for themselves than necessarily the way it was in the past. And I think that kind of touches on the next topic that you wanted to talk about, and that is what about trend following performance in a shifting macro regime because To some extent, I would say that part of the challenge that trend followers were facing in the 2010s was a high degree of coordinated and successful policies by central banks and whoever is involved, obviously leading to very low interest rates, very low and stable. And I think the end stable is the key here, inflation.

All of that seems to have changed. And I think that makes a change to trend following performance, even though we know well not to forecast, well, at least not until we get to the next topic of today. But we know well not to forecast our own performance. But what are your thoughts about trend performance in the shifting macro regime? Yeah, well, I wanted to just... go back and look at how performance has evolved this decade, because obviously we've been in a changed macro environment as we've been saying. And now we're two thirds of the way, more or less, through the decade, I think. So it's kind of interesting time to look back and say, well, what can we say about it? Because there are a couple of interesting observations. Obviously, it has been a better decade, obviously, for trend relative to the previous period.

You know, last, the South China trend has annualized nearly 7.5% over this decade today, where it was just under 2% in the previous decade. And obviously the big change has been bonds, US bonds were annualized to about 7% in the last decade, and it's been negative this period, obviously, because the starting point was, you know, yields of 50 basis points and yields of risen. to close to 5%. So that's a big headwind obviously for bond markets. The curious thing was you would have said the last decade was good for equity markets and equities annualized at 13.5%. But this decade has been even better at over 15%. So that's the kind of context and obviously we have mentioned the kind of the shift in correlations and that's definitely borne out by the data. If you look at the bond equity correlation now it's positive 0.3 this decade versus last decade it was negative 0.5 so that's that's quite a shift but then from a trend following perspective what's

really notable is that Equally, correlation with trend was 0.2 last decade. This decade, it's been negative 0.16. And on the bond side, bonds and trend were positively correlated last decade, 0.33. Whereas this decade, bonds and trend are negatively correlated, negative 0.37, which is interesting. And actually, you know, If you look at the performance, obviously 2022 was the big blowout year. Obviously for some managers, very good in 2021. But 2022 at the index level was the year where we've seen the bulk of the games this period. And obviously that very strong performance that we've seen from trend has even included a period where a lot of managers got close to their largest drawdown. So we've had ups and downs in it.

But actually, when you look at the shape of performance, I went back and I kind of split up the periods from 2020 to today. And actually, some of the best periods of performance for trend have been when we've seen these fractures that I'm talking about, when we've seen them really start to bite in the market. So if you think about when have been the strong periods of performance, 2021 was when we first started to see the inflation episode starting to pick up. Then the next one was 2022, which was obviously the sticky inflation and bonds and equities selling off together. But also we had a second big bond sell-off in 2023. which people can really forget about a bit. And that was another strong period of performance for trend. Now, between April and October of that year, bonds were down 20%. And trend was up 9%. Equities was only up three. And that was the period where there was all the concerns about debt, debt sustainability, which ultimately started to weigh on the equity market. And then obviously what shifted that was in the quarterly refunding announcement that year.

Yellen kind of hinted at shifting away from issuing so much on the long-term bond. So that was the next kind of strong period of performance. And then the other strong period of performance has been kind of the last 12, 15 months or so, when we have seen what have been the big themes for part of that. It was the debasement trade, it was the concerns, the rise in precious metals. Obviously AI has been a theme too, but it has been the big run up in metals, what was certainly a part of it too. So it is interesting that when these, in aggregate, we've had positive performance, but a lot of the performance has been, I suppose, concentrated in those periods when these stress factors are becoming more of a market theme. So I think that's an

important point. I think another point is that what we've seen from Trent in this decade has been it's done well in periods when bonds have done badly.

But, you know, and people say, oh, it's a better diversifier than bonds. Yes, in a way. I mean, the reality is equity holders have a needed diversification. So what we've seen from trend following is it's more adaptive nature, its ability to capitalize on new themes emerging in markets. That sustainability wasn't a theme in markets in the last decade. It is now and trend followers have been capturing that. But in a sense, it almost feels like the you know, the performance of trend has maybe not garnered as much attention because it hasn't, you know, obviously 2022 was a period when equities have badly, but outside of that, it's generally been in periods when bonds have been doing badly and not when equities have been doing badly. So I think that's an interesting feature too. And the other point is that even though in aggregate, We've had this kind of theme of sticky inflation. It has been interspersed with periods that looked more like the old regime. Remember, after the Fed tightened, you had what was called the immaculate disinflation, where inflation seemed to come down, and everybody was saying, OK, inflation's no longer a problem. But then it did stall out.

and found a base at a higher level. And obviously, we've had the AI boom as well, which has led to hopes that we're going to see a disinflationary impact from AI as well. So it hasn't been that this kind of theme of supply shocks, et cetera, that hasn't been a constant. It's been interspersed with, I suppose, Signs at times that we might be going back to that kind of disinflation environment. But ultimately, you know, obviously inflation has stayed above target for five years. So I think, you know, what stands out for me is really that that link that that negative correlation between bonds and trend. And obviously, you know, the question I think that people are, you know, focused on now is like.

What if US yields went above 5%? Obviously, that seems to be what Besant is worried about. Obviously, when we got up close to the highs, they came out with the announcement. And we've seen that kind of playbook to an extent in that October 2023 scenario that was a very good period for trend. But the question mark is, at some point, if you did see that yield, break and we see a ratcheting higher in yields. Would that be the straw that breaks the

camel's back for the equity market? And that could be the environment where you really see the benefit of trend from a portfolio perspective. So, yeah, I think it's interesting, as I say, in aggregate, a strong period, but interesting how it's come at the expense of of bonds and trends in those markets as opposed to it being largely driven by kind of not like the 2000s where we had two big equity market sell-offs and that would provide the environment for trend following performance. Yeah, I mean a strong period for trend in a period where equity returns have been strong. That's part of the attraction that we don't need a crisis to to make money. But I think the other point I just want to stress also is that this decade, yes, we had the big, we had a big help from fixed income markets in 2022 on the short side. But it has also been a decade where a lot of the markets that people find very difficult, if not impossible to get exposure to themselves, at least successfully, namely the commodities have done really well. And at different times, which has been very useful.

And I don't know this for a fact. So bear with me here. But sort of when I look at the way the portfolios that I follow move around, there seems to be somewhat more dispersion between markets. They're kind of doing more their own thing. The correlation between markets are not as high as it used to be within the sectors. And that's generally good for trend. And I think that is partly because of also the deglobalization and the change in policy from the US administration towards foreign countries. I mean, just look what's going on between the US and Canada. Lake America, I understand. Lake Ontario is likely to be called soon. So, yeah, not a good situation, but if we just look at it objectively, It does provide some interesting opportunities potentially for these strategies. And of course, we always try to promote the point. It should at least raise more questions in the investment committees to say, maybe we need something else in our portfolio that we haven't had before to compensate for this change. Anyways, enough about that. We still have a little bit of time left. And I know that there were a couple of papers that you've come across I'm not an expert in these things, but I know you are. And so I'm going to kind of hand it over to you with, I think, the first paper you wanted to pick up on is very much related to what we're talking about, meaning what does the future hold, so to speak. And it's a paper from our friends over at AQR. So tell us about that. I mean, there's two sets of forecasts, really.

I mean, it's their latest capital markets assumptions. And this is something that you see from lots of asset managers and banks that they periodically produce their capital market assumptions. And I mean, you might say, well, what's the relevance? What's the importance of this? But this is basically the kind of exercise that a lot of pension funds go through to try and determine their strategic asset allocation. talking about TPA a lot more, but basically having an estimate of where you think asset classes will, or what kind of level of return they will deliver over the next number of years is kind of the starting point for most kind of strategic asset allocation perspectives. And there's basically kind of two ways you can do this. One is you can look at the past and say, well, what have equities done over the long term?

Or else you can build in some kind of yield version. So you could say, well, at the moment, based on the earning field in the US, which is the inverse of the price earnings ratio, and based on a certain assumption about earnings growth and inflation, et cetera, you can come up with an expectation of... and what aster class returns should be going forward. And in some aster classes, it's easier in some sense than in others. So in bonds, if the 10-year yield is 5%, then that's a pretty good proxy for what you can expect to receive if you bought a bond and held it for maturity over the next 10 years. But obviously in equities, you have a lot of moving parts. And I think the reason I highlighted it too different approaches is just from the radically different answers that you can get doing this exercise, depending on your perspective. In AQR's analysis, US equities are priced to deliver about 3.9% real over the next 5 to 10 years, and that's a nominal return of 6.3%. That seems like a sensible number. Obviously, it would be less.

And then what we've seen, like the numbers I mentioned earlier, where it was double digit returns, we've seen inequities this decade today and in the last decade. So you have to see them. We can't go on forever. But then if you look at the GMO forecast and GMO. split it out between a normal interest rate environment and a low interest rate environment. But in a normal interest rate environment, they're forecasting a negative real return of 7.2%, negative 7.2% for US large. So you might kind of query, well, how can you get such radically different results from the same exercise? And the reason is it's all consented to different assumptions. mean reversion is a big feature of GMO and how they approach investing. So they're assuming not

just valuations mean revert, but profit margins would also mean revert, whereas the QR are assuming that basically valuations stay unchanged, and they're just backing out the return forecast based on that. On the fixed income side also, I think GMO were a little bit lower, but they had cash at, well, real cash at 1.4%, whereas what did the AQR have for that? They also had the same. So yeah, but both are kind of saying 1.4%, which about 3.5 to 4% nominal rates over the next decade. So, you know, I mean, I think it does highlight that something that's supposed to be kind of you know, nearly scientific in approach can yield such massively different outcomes. Obviously, if you take the GMO analysis at face value, you would obviously be totally exiting US equities and even, you know, international large cap are negative too. Japan small cap are positive, international deep value are positive, but generally it's a very bleak picture for equities according to GMO's forecasts.

The other thing that was interesting is then the AQR also looked at commodities and an active strategies. But commodities, again, obviously, as I say, you can't do the yield analysis because there's no effective yield. But they basically take the long run average return of an equally weighted basket of commodity futures. And according to their analysis, that generates a a 3% geometric return over cash over long term. So again, that's also, that would be kind of 6.8% nominal. So that would be attractive too. I mean, the interesting thing then from the perspective of active strategies, obviously a cure runs a lot of active strategies. So we have to keep that in mind when we're reading their analysis. But I mean, if you think about it, You know, they were forecasting, you know, what's reasonable kind of baseline assumption for a net sharp for active strategy sourcing, maybe 0.7, which seems high. But even if you go with, you know, even if you're really pessimistic on, say, trend following, and you're going to say it's going to be, you know, a 0.1 sharp at 12 all, I mean, that's still a, you know, that's still a 5% return if it's a 0.3 sharp.

and you would be over 7% in terms of expected return. So again, it highlights the fact that these active strategies like trend following, given the assumption around where cash rates are, I think that's the important point. If cash rates are going to be 3.5%, 4% over the next decade, that's obviously radically different from the last decade. It doesn't take much in terms of

sharp ratio. for these strategies to be relatively competitive versus traditional asset classes in terms of expected returns. And obviously the expectation is they will deliver those returns with a very low correlation based on the analysis that we've talked about, negative correlation to bonds, negative correlation to equities as well. So from a portfolio context, again, it begs the question, Why don't we see much higher allocation? So I mean, it seems to me that on the one hand, people do these, you know, long-term forecasts and say, okay, equities are going to deliver 7%, but really they believe the equities are going to deliver 12 to 15% because that's the way it's been for the last while. So I don't know. I mean, that's the only way you can kind of square the circle. Yeah. No, I mean, firstly, let me just say that I hope there's not a lot of people listening to us who are negative on trend following because then it's the wrong podcast, of course. But on the other hand, the interesting thing about, and I don't know if that was made clear, but of course, when you invest in a fund like a trend following fund, the good thing is that actually the higher the interest rates go, the more you benefit as well because we simply don't use that much of the cash. So there should be also a payment there into the fund, meaning that it doesn't cost a lot. You're not giving up a lot of your fixed income allocation or interest income by choosing to replace some of the bond portfolio with trend following. Obviously, you're taking on a different active risk, but in terms of the interest income, a lot of that goes back to the investors when you buy that.

Yeah, interesting. I mean, also I thought the... I mean, we've talked about this many times, but of course in the GMO paper, they also have the lost decades chart. Yes. And that they are actually more common than you think. I think they count something like 11. Oh, no, the average of 11 years. Yeah, they do seven distinct periods. Yes, yes, exactly. So, you know, that's a long time not to get any return. I know we've been close probably as an industry, but I would say most, most managers who have been around for a long time, they probably have never really had a 10 year period with no return in that strategy. Could have been, you know, a close call, but.

Well, at least in the one. And they did point out in the paper that those periods of negative to flat to negative for the S, for the 60-40 have all come after periods of exceptionally strong returns. And obviously what we have

seen, obviously last decade was very strong for 60-40, less strong just at decay because of the bond side, but still in aggregate it's been very strong kind of 17 year period. So yeah. Yeah. No, absolutely. So we managed to get around quite a few topics today, a lot of things for people to consider and think about. Anything in all of this that kind of stands out to you? Anything you thought, well, this is the most important thing we should be watching out for going forward? Well, I think the theme has been this evolution of the macro regime that we're seeing.

We've talked about it for a long time. But we've seen it coming in different ways. It was on the inflation side first. Now we're seeing debt sustainability becoming a new thing. And then at some point, does it infect the equity market? Is that the next part? I don't know. You can make arguments on both sides. But I think we're definitely... It's something that to track. And I think it is something to keep front and center going forward. yeah and i don't know if we can stretch our imagination far enough to say that a lot of these analysis a lot of these papers they kind of talk about what people should be investing in so to speak in terms of their expectations but the great thing that trend does is actually in a sense it helps with the timing of it when should we invest in these things because we're simply not going to buy anything that's going down for example so we kind of avoid that you know, being early type, you know, because some of these may be completely right, but if you're wrong with the timing by a few years, you probably lose the confidence of the investors. Now, it doesn't mean that trend following is flawless, and we're going to have our drawdowns and all that, but at least if people spend a bit of time studying it, that is just part of how it works. So anyway, let's leave it, let's leave it for today on that note.

Of course, as always, I would encourage people to go and leave a positive rating and review as a thank you note to Alan and all the other co-hosts coming on every week, prepared with topics and interesting talking points. It actually is a lot of effort on their part. So I really do appreciate if you would show your appreciation on that. And you might still be in the running for the competition we have running until the 1st of September, where you can where you can win the actual, not the actual vest that Alan is wearing today, but a similar very sleek top traders unblocked vest. So anyways, there's still a few more days, but you need to leave a rating and review. You

need to email the usual email address info at toptradersunblock.com and tell me who you are, what you wrote, and where we can find it. So because we do want to verify, of course, that it was an actual review. Anyways, next week I'm joined by Joav. I know he's already put out to me some notes about what he's going to cover. And I thought that looked very, very interesting indeed. If you have a question for Joav, infoatoptradersonblog.com is the email. And I'll do my very best to bring them up.

That's it for today from Alan and me. Thanks ever so much for listening. We look forward to being back with you next week. And in the meantime, as usual, take care of yourself and take care of each other. The best way to stay updated is to go on over to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you and to ensure our show continues to grow, please leave us an honest rating and review. It only takes a minute and it's the best way to show us you love the podcast. We'll see you next time on Top Traders Unplugged.

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